

# SOFTWARE SUPPORT AGREEMENTS

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# Objectives

- Define the term Software Licensing.
- Categorize Software Licensing.
- Focus on the importance of software licensing for software developers and users.
- Describe the components of Software License Agreement.
- Discuss deployment methods for Software Licensing.
- Explain different sections for Software Licensing Support Agreement.



# Software License

- A legal agreement that defines the terms of usage and provides the right to one or more copies of software to end users.
- Establish the rights and legal framework for interaction between all parties involved, i.e. software developers, providers, and users
- Without a license, using and redistributing the software would be considered a breach of copyright law.



# Software Licensing

- Manage use rights across on-premises, SaaS, and hybrid deployments
- Introduce new pricing models, such as usage-based monetization
- Enable flexible packaging, bundling, and feature configuration



# Software Licensing

- Safeguard against piracy, tampering, and hacking
- Implement IoT device monetization models
- Facilitate secure delivery and activation
- Govern license compliance



# Importance of Software License for Software Developers

- Protecting intellectual property rights
  - ensure developers have control over the software and its source code.
- Providing legal protection
  - allow legal action against agreement violators.



# Importance of Software License for Software Developers

- Supporting revenue generation
  - monetizing their software through selling licenses and subscriptions
- Promoting ethical use
  - via open-source licenses that foster shared responsibility within the community



# Importance of Software License for Software Users

- Setting permissions and restrictions
  - prevent unintentional misuse and violation of terms, keeping everyone protected
- Providing legal clarity
  - reduce the risk of disputes and other potential consequences due to misuse of the software.





# Importance of Software License for Software Users

- Establishing compliance
  - between both parties on the agreed-upon terms to reduce the likelihood of any illegal activity or disputes
- Giving liability protection
  - by making the users aware of any liabilities and setting realistic expectations about the software's performance.



# Software License Agreement

- A software license agreement is the legal contract between supplier and user, specifying the rights and obligations of both parties and provisions related to support, liability, and license duration.
- The agreement typically covers key aspects of expected performance, such as availability and reliability, while also outlining the supplier's rights to maintain IP.



# Software License Agreement

- Payment terms are established, and once the contract is signed by both parties, the licenses can be activated and delivered via software license enforcement technology.
- Within a strong software licensing framework, suppliers can add tamper-resistance to code, install safeguards against unauthorized access to software, use secure activation mechanisms, and react accordingly to any detected hacking or overuse.



# Components of Software License Agreement

- **License grant**
  - Specifies user rights to access and use the software.
- **Scope of software usage**
  - Describes authorized use and limitations.
- **Intellectual property**
  - Defines software ownership and copyright details.



# Components of Software License Agreement

- **Usage restrictions**
  - Lists all prohibited activities, such as reverse engineering.
- **Payment and fees**
  - Includes software cost, payment terms, and refunds.
- **Termination**
  - Contains license duration and conditions for termination.



# Components of Software License Agreement

- **Support and updates**

- Provides details on support levels and software updates.

- **Warranty and liability**

- Specifies product warranties and limits developer liability.

- **Governing law**

- Specifies jurisdiction and dispute resolution methods.



# Components of Software License Agreement

- **Miscellaneous clauses**

- Covers notices, waivers, amendments, and more.

- **Acceptance and signatures**

- Requires user acknowledgment of terms and conditions.



# Types of Software License

- **Proprietary licenses (Commercial license)**

- The source code is considered a trade secret, which is a type of intellectual property.
- Intellectual property rights are held by the publisher.
- Potential users must accept and abide by the terms and conditions of the software license agreement, or they legally cannot use the software





# Types of Software License

- **Free and open-source software (FOSS) licenses**

- Anyone is free to use, change, copy, and study.
- The source code behind the software is shared, and users are able to improve the design.
- The user has the freedom to study the software and change it to run as he or she wishes.
- The user has the freedom to distribute copies to others.



# Types of Software License

- **Permissive licenses**

- Open source but have minimal restrictions on how the software can be redistributed.
- Allow users substantial freedom to use, modify, and distribute software, including using it in proprietary projects..
- Good for flexibility, collaboration, and broad adoption.



# Types of Software License

- **End-user license agreement (EULA)**
  - Used for commercial software and outlines software usage terms for end users.
  - Vary from one software to another, as the terms and conditions depend on the developer's preferences, the nature of the tool, and its intended use.



# Types of Software License

- **Copyleft licenses**

- Associated with open-source software.
- Allow derivative works or modifications of the software but require it to be open source and freely available.
- ensures that the freedom associated with open-source software, like the ability to view, modify, and distribute the source code, is extended to all subsequent users and developers.



# Types of Software Licensing Models

- **Perpetual software license model**

- A non-expiring license to use a piece of software.
- The customer does not need to pay for support or update the version of the software they bought.
- The customer may end up with some outdated tools, leaving them unsatisfied and, in turn, creating a bad reputation for the provider.



# Types of Software Licensing Models

- **Subscription software license model**

- Customers typically renew their licenses annually, which includes support and updates during that period of coverage.
- Unless the customer renews the license, it is terminated automatically.
- For the publisher, subscription licenses offer a steady source of income rather than getting the money all at once.



# Types of Software Licensing Models

- **Consumptive software license model**

- Has a recurring fee, but it is based on usage.
- The more the customer uses the product, the more they pay.
- The payment method of the consumptive license is most closely related to the value the customer gained from the product while also providing a decent revenue flow for the provider.



# Types of Software Licensing Models

- **Pay-per-use license model**

- Charges users based on their software usage.
- It's common in cloud computing and services where customers are billed for resources used.
- This model offers flexibility and cost efficiency for software providers and customers alike.





# Types of Software Licensing Models

- **Freemium license model**

- Offers the basic version of the software for free to all users, while the advanced and premium features are only available for paid users.
- A great way to acquire users, offer value, and convert a portion of them into paying customers while also maintaining a free option for those who may not require premium features.



# Software licensing deployment methods



SaaS/Cloud



On-premises



Embedded



# Software licensing deployment methods

- On-premises software licensing
  - applies to any software installed on a local computer, device or license server, where it's only accessible locally.
  - traditionally the only available software deployment method before cloud-based licensing was introduced.



# Software licensing deployment methods

- **SaaS/Cloud-based software licensing**

- involves software applications that are used, monitored and managed over the internet rather than hosted on local devices.
- is more convenient to install, and allows providers to easily offer patches and software updates.
- suppliers and software developers can see data in real-time on how customers use the software, helping them to make product improvements, adjust sales and marketing, or identify unauthorized software access.



# Software licensing deployment methods

- **Embedded software licensing**

- programs that are installed on systems and devices, such industrial machinery, medical equipment, automobiles, or consumer electronics.
- As hardware manufacturers increasingly embrace IoT monetization, the shift toward software-first business models continues at pace with embedded deployments exponentially on the rise.



# Software licensing deployment methods

- **Hybrid licensing**

- includes both cloud and on-premises aspects in one software license.
- utilized by producers transitioning to the cloud, but also meet the needs of organizations that prohibit cloud access.



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# Software licensing support agreement

- A contract that requires software providers to give technical support and updates for their products.
- Helpful for individuals or business owners who want to be sure their investment in software is protected.
- Ensures that consumers won't need to worry about upgrading their systems by themselves and holds software companies accountable for their products.





# Main Sections for Software licensing support agreement

- The first element is definitions, which provide context for certain words within the contract.
- Next element includes information about the software license, which software updates are available, and how often they can be installed, as well as a general section that covers miscellaneous terms of the agreement.



# Common Sections in a typical Software licensing support agreement

- DEFINITIONS
- LICENSE
- LICENSE RESTRICTIONS
- PAYMENTS
- MAINTENANCE AND SUPPORT
- WARRANTIES AND LIMITATION OF LIABILITY



# Common Sections in a typical Software licensing support agreement

- INDEMNIFICATION
- CONFIDENTIAL INFORMATION AND OWNERSHIP
- TERM AND TERMINATION
- GENERAL
- APPLICABLE LAW AND DISPUTE RESOLUTION



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